

All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

Section 1.2 — Inside WCB: The Cap, the Deeming, the Disputes, the Cliff at 65

The Workers' Compensation Board of Alberta is the entry point to the cascade for most workers whose disability begins at work. It is also the system that working-age Canadians have the most public-facing trust in, because it is the system most working-age Canadians have heard of. Most have not been inside it. This section walks through what is actually inside it.

The Workers' Compensation Act of Alberta establishes a no-fault insurance system. Workers give up the right to sue their employer for workplace injury or illness, and in exchange the Board pays defined benefits regardless of who was at fault. Employers fund the system through premiums. Workers are not consulted on premium rates. The Board sets them. (*Source: Workers' Compensation Act, R.S.A. 2000, c. W-15; WCB-Alberta — Rate Setting page, 2026.*)

The Board operates at arm's length from government. The Government of Alberta appoints its Board of Directors. Policy changes flow from legislation, from Board decisions, and from Government direction through the Minister responsible. The Workers' Compensation Act has been amended repeatedly across successive governments. The amendments are not neutral. Each amendment shifts the balance of risk between worker and employer. The most recent significant amendment cycle — Bill 30 in 2017 under the New Democratic Party government, partial rollback under the United Conservative Party government beginning in 2019 — is documented and politically tracked. This section names that political history because the political history is what the worker reading this document will encounter as the operational rules of their claim.

The wage-replacement formula

WCB-Alberta calculates wage replacement at ninety per cent of net earnings, where net earnings means gross employment earnings less federal income tax, provincial income tax, Canada Pension Plan contributions, and Employment Insurance premiums. (*Source: WCB-Alberta — Wage replacement page, 2026.*) The Board sets a Maximum Compensable Earnings amount each year — the ceiling above which earnings are not insurable for wage-replacement purposes. The Maximum Compensable Earnings amount for 2026 is one hundred and ten thousand nine hundred dollars. (*Source: WCB-Alberta — Maximum Compensable and Assessable Earnings Fact Sheet, January 2026.*)

For the worker earning at or below the cap, the formula is straightforward: take gross earnings, subtract tax and CPP and EI, take ninety per cent of the result. A worker earning eighty thousand dollars per year in gross income receives a wage-replacement benefit calculated against approximately fifty-five thousand dollars in net earnings, paid at ninety per cent of that figure, which produces roughly forty-nine thousand five hundred dollars per year — about ninety-five hundred dollars below the original gross. The worker's actual cost of living, however, did not adjust by ninety-five hundred dollars to match.

For the worker earning above the cap, the gap is larger and grows with income. A worker earning one hundred and fifty thousand dollars per year is treated by the Board as if they earned one hundred and ten thousand nine hundred dollars per year. The forty thousand dollars of annual income above the cap is uninsurable for wage-replacement purposes. The worker paid full federal and provincial income tax on that income. The Board does not insure it.

What the cap politics actually were

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Between September 1, 2018, and December 31, 2020, there was no cap on wage-loss benefits in Alberta. (Source: WCB-Alberta — *Wage replacement, "Date of Accident" timeline*; BCL Consulting — *Maximum Insurable Earnings, 2018*.) Workers injured during this twenty-eight-month window had their benefits calculated at ninety per cent of actual net earnings, with no ceiling. This was a direct consequence of Bill 30, passed by the Alberta Legislature in late 2017 under the New Democratic Party government, on the recommendation of the WCB Review Panel established that year. The cap removal was one of the most significant pro-worker amendments in Alberta WCB history.

On January 1, 2021, the cap was restored. (Source: WCB-Alberta — *Wage replacement, 2026*.) The restoration was implemented under the United Conservative Party government, which had won the 2019 provincial election in part on a platform of reversing key elements of the previous government's labour reforms. The Maximum Compensable Earnings cap was reinstated and has been adjusted annually since. The cap restoration applies to all injury dates on or after January 1, 2021.

This means, as a documented matter of provincial policy, that two workers with identical injuries and identical earnings are entitled to different benefits depending on which date they were injured. A worker injured in October 2020, earning one hundred and fifty thousand dollars per year, has wage-replacement benefits calculated against the full one hundred and fifty thousand. A worker injured in October 2026, earning the same one hundred and fifty thousand dollars per year, has wage-replacement benefits capped at one hundred and ten thousand nine hundred. The same provincial government that reinstated the wage-replacement cap is the government that designed the AISH-to-ADAP transition documented elsewhere in the Alberta Disability System Breakdown campaign. The structural pattern is consistent. Workers receive less of what they paid into. Employers and the public treasury retain more.

Independent Medical Examinations

When a worker's claim is accepted by the Board, treatment proceeds under the supervision of the worker's treating physicians. The Board, however, retains the right to order Independent Medical Examinations — assessments conducted by physicians under contract to WCB-Alberta whose role is to provide the Board with a medical opinion independent of the treating relationship. (Source: WCB-Alberta — *Procedures Manual, Health Care, Application 1, 2025*.)

The IME is not, in operation, an independent process. The IME physician is paid by WCB. The IME report is provided to the Board. The Board uses the IME report to determine whether to continue, modify, or terminate benefits. If the IME report disagrees with the treating physician's assessment — which it frequently does, particularly on questions of work-readiness, recovery timeline, and ongoing impairment — the Board is institutionally positioned to weight the IME report more heavily. The worker's treating physicians may disagree in writing. The Worker may file a dispute. The dispute proceeds through internal Board review and, if not resolved, through the Appeals Commission. The dispute process can take eighteen months to three years to complete. During that time, the worker's benefits are determined by the Board's most recent decision. If that decision was to terminate based on an IME, the worker is without benefits for the duration of the dispute.

The IME mechanism is the single most consequential operational reality inside WCB. It is the mechanism through which the Board exercises discretion over claim outcomes. It is documented in academic and legal literature on workers' compensation systems across Canadian jurisdictions. (Source: Lippel, K., et al., *"The*

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mental health of workers' compensation claimants," Institute for Work & Health, 2016; Storey, R., "From the Pittston Strike to the U.S. Workers' Compensation Reform Movement," Labour/Le Travail, 2009.) It is not unique to Alberta. It is consequential everywhere it operates.

Deemed earning capacity

For workers who cannot return to their pre-accident occupation but are determined by the Board to retain partial earning capacity, the Board applies a "deemed earning capacity" calculation. The worker's wage-replacement benefit is reduced by the amount the Board determines the worker is capable of earning in some post-injury occupation, regardless of whether the worker has actually obtained that employment.

A worker who earned eighty thousand dollars per year as a heavy equipment operator and is determined to retain capacity for a forty-thousand-dollar-per-year sedentary administrative role has their wage-replacement benefit calculated against the difference between pre-injury and post-injury deemed earnings, not against actual wage loss. If the worker cannot find the deemed administrative role — because they have no administrative experience, because they live in a region without administrative jobs, because employers will not hire a worker with their injury history, because the disability is more limiting in practice than the IME report assessed — the deemed earning capacity stands. The benefit is reduced as if the deemed earnings were real.

The Board's policy permits review of deeming decisions. The review process is the same Board process that produced the original deeming decision. (*Source: WCB-Alberta — Policy 04-04, Permanent Disability; Advisor Office — Economic Loss Payments, 2025.*)

Maximum Medical Improvement

At a point determined by the Board's medical advisors, a worker is declared to have reached Maximum Medical Improvement, or MMI. The MMI determination is the gateway to permanent-disability adjudication. Before MMI, benefits flow as Temporary Total Disability (TTD) or Temporary Partial Disability (TPD) based on the Board's view of the worker's recovery progress. After MMI, benefits flow as Permanent Clinical Impairment (PCI) lump-sum awards or Economic Loss Payment (ELP) ongoing pensions, depending on the Board's assessment of the worker's permanent functional limitations and earnings impact.

The MMI determination is consequential. A worker declared to have reached MMI prematurely — before all available treatment has been attempted, before the full natural history of the condition has played out, before secondary conditions have been recognized — is locked into a permanent assessment based on incomplete clinical information. The PCI lump-sum award is calculated against a percentage-impairment rating assigned by a WCB-approved physician applying the American Medical Association's Guides to the Evaluation of Permanent Impairment. The rating produces a percentage. The percentage produces a dollar amount. (*Source: WCB-Alberta — Permanent Disability Compensation Fact Sheet WFS-463, 2020; AMA Guides to the Evaluation of Permanent Impairment, 6th edition.*) For a moderate impairment in the ten-to-twenty per cent range, the PCI lump sum may be in the range of twenty to forty thousand dollars. For most workers, this lump sum is the only "settlement" they will ever receive. It is not designed to replace lost lifetime earnings. It does not.

The appeals architecture

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A worker who disagrees with a Board decision has access to two layers of appeal. The first is the Dispute Resolution and Decision Review Body (DRDRB), which is internal to WCB. The DRDRB reviews the Board's decision and may uphold, modify, or reverse it. The second layer is the Appeals Commission, which is a separate quasi-judicial body. (Source: *Workers' Compensation Act, R.S.A. 2000, c. W-15, Part 6 — Appeals Commission for Alberta Workers' Compensation; WCB-Alberta — Appeals Process page, 2026*.) The Appeals Commission's decisions are binding on the Board. The Appeals Commission's decisions are subject to judicial review only on procedural grounds, not on the merits.

The appeals process can take eighteen months to three years to complete. During the appeal, the worker continues to receive benefits at the level set by the most recent Board decision. If that decision was to terminate or reduce benefits, the worker is without those benefits during the appeal period. Workers who are financially unable to wait through the appeal often accept a reduced settlement to end the process. This is a documented operational outcome of long appeal timelines in workers' compensation systems generally. (Source: Lippel, K., "Compensation for Mental-Mental Claims under Canadian Workers' Compensation Law," *Health Law Journal*, 2002.)

When WCB ends

WCB benefits end in one of several ways. The worker may recover to the extent that the Board determines wage loss has resolved. The worker may settle a permanent partial impairment claim and exit the wage-loss system entirely. The worker may have benefits terminated based on an IME or deeming decision the worker disputes but does not win. The worker may exhaust appeals.

If the worker remains disabled and unable to work, and WCB benefits have ended through any of these mechanisms, there is no automatic transfer to anything else. The worker is now an applicant. They apply for AISH. They apply for the Canada Pension Plan Disability benefit if they have sufficient CPP contributions. They apply for Employment Insurance sickness benefits if they qualify. They wait. The wait, depending on the program, may be months. The wait for AISH, particularly when application volumes are high, may be longer than two years. (Source: *AUPE — AISH Caseworker Caseload Statement, 2025; Inclusion Alberta ADAP Fact Sheet, December 2025*.) During the wait, the worker has no income from the public system. Whatever savings they have are spent down. Whatever family supports they have are drawn upon.

This is the gap. It is structural. It is not the result of a single bad decision or a single underperforming office. It is the product of a system in which WCB-Alberta, AISH, ADAP, and CPP-D are administered separately, communicate poorly, and were not designed to operate as a continuous safety net for the worker who needs to move between them.

The cliff at 65

For workers receiving Economic Loss Payments — the WCB-Alberta wage-loss benefit for permanent earnings impact — the benefit is recalculated at age sixty-five, on the assumption that a sixty-five-year-old worker would normally have retired. (Source: *WCB-Alberta — Policy 04-04, Part II, Application 4: Economic Loss Payment; WCB-Alberta — Permanent Disability Compensation Fact Sheet WFS-463, 2020*.) The recalculation is governed by a defined formula. The Board takes the total wage-loss compensation paid from the date of accident to the date of retirement adjustment and multiplies it by two per cent. The result is the worker's annual ELP retirement benefit, paid for the rest of their life unless commuted to a lump sum.

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WCB-Alberta's own published example, drawn from its worker fact sheet, illustrates the magnitude of this adjustment. A worker injured at age fifty-five in 2018, receiving Economic Loss Payments of forty-eight thousand three hundred dollars per year, who retires at age sixty-five in 2028, has received four hundred and eighty-three thousand dollars in cumulative wage-loss benefits over the ten-year period. (Source: *WCB-Alberta — Permanent Disability Compensation Fact Sheet WFS-463, June 2020, Worker Example.*) At age sixty-five, the ELP retirement benefit is calculated at two per cent of that cumulative figure: nine thousand six hundred and sixty dollars per year. That is eight hundred and five dollars per month, for the rest of the worker's life.

The worker's wage-loss benefit has dropped from approximately four thousand dollars per month to approximately eight hundred dollars per month, on a single calendar day, on the worker's sixty-fifth birthday.

The worker has the right to argue that they would have continued to work past age sixty-five had they not been injured. (Source: *WCB-Alberta — Advisor Office, Economic Loss Payments After 65, 2025.*) The burden of proof is on the worker. Acceptable evidence includes: a written letter from a financial planner demonstrating that the worker's retirement savings are insufficient to retire at sixty-five; documentation of a mortgage extending past age sixty-five; evidence of professional licensing or certification renewals indicating intent to continue working; employer statements confirming the worker had no planned retirement date. The Board reviews the evidence and decides. If the Board determines the worker would have retired at sixty-five, the ELP retirement adjustment proceeds. The decision can be appealed.

For most workers, the decision is not appealed successfully. The cliff arrives. The benefit drops. The worker, now sixty-five, transitions to Canada Pension Plan retirement, Old Age Security, and — if income is low enough — the Guaranteed Income Supplement. The remainder of this document walks the architecture of those programs.

The continuity argument, restated

The worker who fell from a height at age forty-two, in the cascade traced in Section 1.1, is now sixty-five. The intervening twenty-three years have included WCB benefits at reduced replacement rates, then disputes, then deeming, then a permanent partial impairment award, then a long-running Economic Loss Payment, then — at sixty-five — the two-per-cent adjustment that reduces monthly income from approximately four thousand to approximately eight hundred dollars overnight. The worker has not been on AISH; the worker has remained inside the WCB system throughout. Even on the favourable side of the cascade, where AISH and the asset cap and the cohabitation rule were avoided, the worker arrives at sixty-five with a wage-loss benefit reduced to one-fifth of its previous value, no employer pension, no significant retirement savings (because for twenty-three years there was no surplus income to save), and a transition into the senior income system that begins at the floor.

The same worker, on the unfavourable side of the cascade — where WCB ended early, AISH became the primary income, and the asset cap forced liquidation of RRSPs, TFSA's, and vehicles — arrives at sixty-five with no savings to transition into the senior system at all. The senior system will not differentiate between these two workers in any meaningful way. CPP retirement is calculated on contribution history, and the worker's contribution history was interrupted at age forty-two. OAS is residency-based and pays the same to both workers. GIS is income-tested and pays the higher amount to the worker with less other income, which means the unfavourable-cascade worker actually receives slightly more from GIS — a documented

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inversion of the lifetime contribution principle, examined in Movement Two.

The cage that this document names is a continuous architecture from workplace injury to long-term care. The worker who falls at forty-two and the senior who divorces on paper at seventy-three to preserve the Guaranteed Income Supplement are in the same architecture, at different stages. Section 1.3 walks the AISH application — the unfavourable side of the cascade — in operational detail.